

WRITTEN QUESTIONS (TOTAL: 100 MARKS)

Answer **ALL** questions in this section. Marks are indicated at the end of each question. Together they are worth 100% of the total marks for this examination.

Question 1 (10 marks – approximately 18 minutes)

Peter was engaged as a delivery man by Fast Speed Company Limited ("FSL") about a year ago to carry out part-time delivery jobs on an on-demand basis. FSL is a food and parcel delivery company which operates its business via its own online platform that allows its customers to place orders. FSL determines the orders to be delivered by Peter and the route to be taken. Peter then carries out the tasks assigned by FSL by using his own smartphone and motorcycle. Peter must complete his tasks on his own and may not hire additional helpers. When Peter is assigned a job by FSL, he needs to log onto FSL's online platform and is not allowed to log out until he has completed his tasks. When Peter is carrying out his work, FSL monitors the route taken by Peter and tracks the orders to be delivered by Peter. FSL determines and calculates the amount to be paid to Peter for each job, and Peter is not allowed to receive any fees directly from customers. For the last few months, Peter has not been paid for his work. A week ago, Peter's contract was terminated without notice or payment in lieu of notice.

Required:

Apply the employment law of Hong Kong with reference to the relevant legislation as well as case law in analysing the employment status of Peter.

(10 marks)

Question 2 (20 marks – approximately 36 minutes)

Tina incorporated a company in Hong Kong, Happy Jewellery Company Limited ("HJL"), more than ten years ago to run a jewellery business. Tina's business was successful until her health began to deteriorate about a year ago. Several months ago, HJL went into liquidation. After having taken over the assets of HJL, Albert, the liquidator, decided to sell nine rough stones, which he assumed to be diamonds, in the inventory by public auction. As Albert knew nothing about diamonds and he wanted to save some money, he asked his friend Susanna, a gemmologist, to make a gratuitous survey of the stones. Anna, one of the members in Albert's liquidation team, said to Albert that he should not assume that the stones were genuine diamonds as he knew nothing about diamonds. Anna suggested that Albert should pay Susanna properly for the survey. Albert thought that saving money was important and did not take Anna's advice. Having learnt from Albert that HJL had operated a successful jewellery business before Tina fell ill and thinking that the stones must be genuine diamonds, Susanna made a rough estimation of the value of the stones without providing a breakdown for the individual items.

Subsequently, Albert appointed a reputable auctioneer to sell the stones by public auction in a six-star hotel. The nine stones were individually and collectively described and advertised as "rough diamonds", and bidders were given catalogues.

Gigi, who operated a medium-sized jewellery business, attended the auction and successfully bid on all nine stones for a total price of HK\$3.2 million. Upon arranging for a subsequent examination, Gigi found that the stones were synthetic cubic zirconia and were worth only a fraction of the purchase price of HK\$3.2 million.

Gigi is very upset and is now considering commencing legal proceedings against HJL.

Required:

- (a) In relation to contract law in Hong Kong, analyse whether Gigi can raise a claim against HJL on the grounds of misrepresentation.**

(10 marks)
- (b) On the basis of your answer in part (a), analyse what remedies are available to Gigi.**

(5 marks)
- (c) Analyse which court/ tribunal has jurisdiction to hear Gigi's case which involves an amount of HK\$3.2 million.**

(5 marks)

Question 3 (10 marks – approximately 18 minutes)

Mr Wealthy is a high net-worth individual who is very keen on investing in properties. A few months ago, Mr Wealthy saw an advertisement about the sale of a shopping centre, Good Prospects Centre ("GPC"). As Mr Wealthy was interested in GPC, he made a site inspection and subsequently engaged a professional property valuer, Precise Valuation Company Limited ("PVL"), to make a valuation of GPC. Mr Wealthy did not specifically tell PVL that he was interested in purchasing the shopping centre. While PVL was conducting the valuation of GPC, the construction of a new shopping centre, Elegant Place, which was opposite GPC, would soon be completed. PVL had negligently omitted to take into consideration the possible impact of Elegant Place on the value of GPC. PVL overstated the value of GPC in its valuation report (the "Report"). By the time the Report was completed, Mr Wealthy had lost interest in GPC and did not bother to read the Report.

When Mr Wealthy was having dinner with his good friend Mrs Rich, Mrs Rich coincidentally told Mr Wealthy that she would be interested in buying GPC. Out of friendship, Mr Wealthy gave Mrs Rich the Report. Mrs Rich relied on the findings of the valuation and purchased GPC, as a result of which she overpaid for GPC. Mrs Rich now wishes to seek legal advice on whether she can hold PVL liable for the misstatement in the Report.

Required:

In relation to the tort of negligence, analyse whether Mrs Rich is entitled to hold PVL liable for negligent misstatement in the valuation report.

(10 marks)

Question 4 (20 marks – approximately 36 minutes)

Bobo engaged Johnathan as her golf coach several months ago. During a coaching lesson, Bobo told Johnathan that she wished to purchase a new set of golf equipment and asked him to accompany her to a shop selling golf equipment and assist her in the purchase. Johnathan agreed to do so and took Bobo to a shop called Good Play. Bobo subsequently purchased a set of golf equipment on Johnathan's recommendation. Unknown to Bobo, Johnathan had earlier contacted the owner of Good Play, Mrs Money, and told her that he would accompany one of his students to Good Play and select a set of golf equipment. It was agreed between Mrs Money and Johnathan that the higher the purchase price of the golf equipment sold, the higher amount of commission Johnathan would receive from Mrs Money. Bobo purchased the most expensive set of golf equipment from Good Play on Johnathan's recommendation. Johnathan subsequently received a handsome commission from Good Play on the day after the purchase. Recently, Bobo accidentally learned from the shop manager of Good Play, Robert, who happened to be Bobo's classmate whom she had not seen for some years, that Johnathan had received a handsome commission from Good Play. Bobo was furious.

Required:

(a) In relation to agency law,

- (i) Explain the fiduciary duties owed by an agent to his/ her principal.**

(6 marks)

- (ii) Analyse whether Johnathan's act of receiving a commission from Good Play could result in a breach of fiduciary duties owed to Bobo and the legal consequences, if any.**

(4 marks)

Note: You need not discuss the criminal liability which Johnathan may have incurred in respect of the commission he has received.

- (b) Apply anti-corruption laws and analyse whether Johnathan may have committed any criminal offence by accepting the commission from Good Play.**

(10 marks)

Question 5 (20 marks – approximately 36 minutes)

Nicholas, Leo, and Lisa incorporated a private limited company, Top Fit Company Limited ("TFL"), four years ago to design and develop mobile health applications which equip users with tools to monitor their health, share data, and connect with medical professionals via their mobile phones. All three of them are the shareholders and directors of TFL. Thanks to tremendous growth in the remote health management industry in recent years, TFL's business has been flourishing since its incorporation. They are now considering listing TFL on the Main Board of the Hong Kong Stock Exchange ("HKSE").

They have recently sought legal advice on the procedures and requirements for listing a company on the HKSE. Their legal adviser has told them that the first thing to do would be to convert their private limited company into a public company.

Required:

- (a) In relation to company law in Hong Kong, explain to Nicholas, Leo, and Lisa how to convert a private company into a public company. (10 marks)
- (b) In relation to the Listing Rules of the HKSE, describe the major and core listing requirements for listing a company on the Main Board of the HKSE. (10 marks)

Question 6 (20 marks – approximately 36 minutes)

Jessica and Jerry got married ten years ago. When Jessica met Jerry 12 years ago, Jerry was a successful businessman, being the sole director and shareholder of a company known as High Growth Company Limited ("HGL"), a Hong Kong private limited company. The relationship of Jessica and Jerry turned sour about a year ago when Jessica suspected that Jerry had an affair. Their marriage eventually broke down, and Jerry and Jessica separated. Before the deterioration of their relationship, Jerry used to tell Jessica everything he did.

Jessica learned from Jerry that he had bought a few properties with his own funds before the incorporation of HGL. Jessica was also told that Jerry vested these properties into HGL before their marriage and were the most valuable assets of HGL. During her occasional visits to HGL's office, Jessica noticed that Jerry made free use of HGL's assets and funded both his personal expenses as well as their family's expenditure with HGL's funds. Jessica has recently filed a petition for divorce.

Required:

In relation to company law:

- (a) Explain the principles of separate legal entity and limited liability.**
(5 marks)
- (b) Analyse whether Jessica is entitled to claim, in her divorce proceedings, any interest in the properties Jerry bought with his own funds and which he had vested into HGL before the marriage.**
(10 marks)
- (c) Analyse if and how your answer in part (b) would be different if the properties owned by HGL had been bought with HGL's funds.**
(5 marks)

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